

Voluntary Report – Voluntary - Public Distribution

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Report Name: Oilseed Production in Kazakhstan

Country: Kazakhstan - Republic of

Post: Astana(Nur-Sultan)

Report Category: Oilseeds and Products, Grain and Feed

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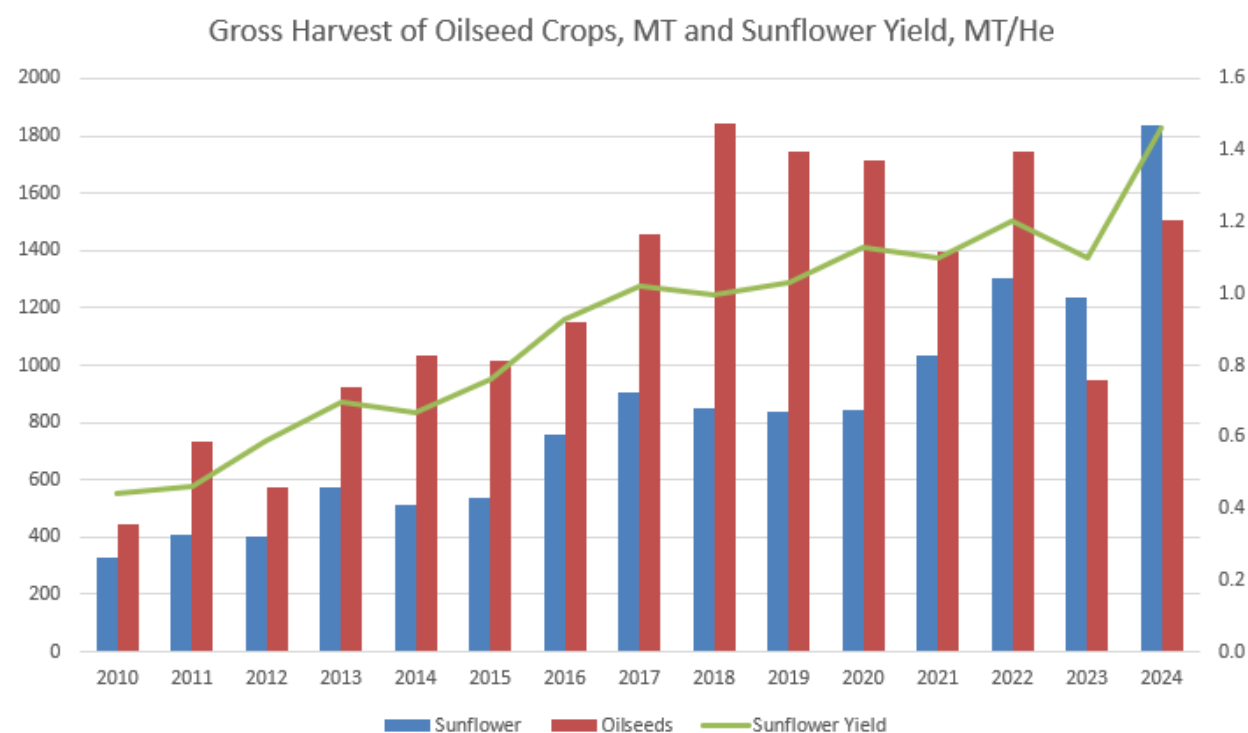
Report Highlights:

Over the last five years, Kazakhstan has undergone a gradual but strategic shift from wheat and other grains towards greater oilseed production, especially sunflowers. This transition has been fueled by economics, weather, and government policy. Looking ahead, Kazakhstan is expected to continue ramping up its production of oilseeds, expanding its processing capacity, and exporting more oilseed meals and vegetable oil to neighboring markets.

Kazakhstan's Strategic Shift Toward Oilseed Production

Kazakhstan has historically been a grain-producing country, with wheat as the dominant crop and export commodity. For many years, more than 12 million hectares of land - primarily in the northern and central regions - were allocated to the production of wheat and other grains. However, over the past five years, the country has undergone a gradual but strategic shift from grains towards greater oilseed cultivation, especially sunflower production in the north and eastern parts of the country. Our recent [July 2025 Grain & Feed Update](#) discusses this switch from wheat to sunflower production in marketing year 2025/26.

This shift has been triggered by economic necessity, weather, and government policy. On the economic front, grain profits have narrowed in recent years and foreign competition has increased. Favorable yields and decent profit margins have motivated farmers to plant more oilseeds. Average sunflower yields have increased steadily, rising from 0.8 MT per hectare in 2014 to 1.5 MT per hectare in 2024. Other oilseed crops - including flax, rapeseed, and safflower - reached an average yield of 1.2 MT per hectare in 2024. This improvement reflects the adoption of higher-quality seed varieties and better agronomic practices, particularly in northern regions. Meantime, grain production in certain lower-yielding parts of the country has become less viable due to climate stress and soil degradation.



Source: The Bureau of National Statistics, June 2025

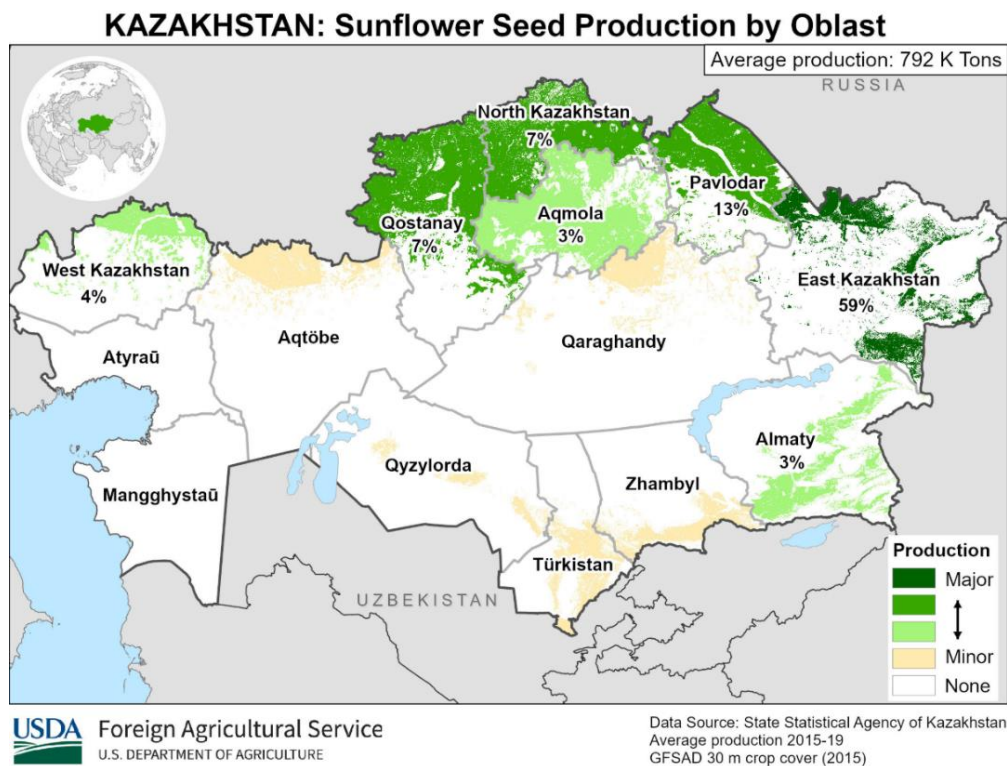
Another key factor behind the shift toward sunflower production is the compatibility of grain and oilseed farm machinery. In other words, the same harvesters can be used for wheat or sunflowers. At the same time, sunflower production offers farmers a larger time window for planting and harvesting that doesn't directly compete with wheat and other cereal production. Sunflowers are sown in the spring after wheat and harvested much later - often into November or December. This extended harvest window is possible because the plants naturally dry in the field during sustained sub-zero temperatures, which minimizes some of the need for chemical herbicides.

For farmers with limited access to machinery, this staggered harvesting window is critical. It allows them to harvest grain first during the peak campaign, while sunflowers can remain in the field without significant loss in yield or quality.

Besides the economic and weather-related factors spurring increased oilseed production, the Kazakh government's new agri-food strategy is also contributing to this expansion. The strategy has three core priorities aimed at: (1) crop diversification, (2) value-added processing, and (3) an increase in value-added agricultural exports. In support of this strategy, the national oilseed producers' association has set a goal to expand oilseed cultivation to 4.0 million hectares over the next five years (2025-29). According to Kazakhstan's official statistics, between 2020 and 2024, oilseed area planted expanded from 2.8 million to over 3.3 million hectares in 2025/2026, with sunflower leading the way.

Under the strategy to incentivize greater oilseed production, the Kazakh government is giving farmers a 22,000 tenge (about \$48) per metric ton (MT) subsidy when they deliver sunflowers to local processors. This measure is financed through a 20 percent export duty on sunflower seeds - set at a minimum of €100/MT - that generated 9.6 billion tenge (\$21 million) in its first year. In addition to this subsidy, the government is offering subsidies for seed, undertaking domestic breeding initiatives, and offering preferential equipment leasing and tax incentives for processors.

Local scientific experts caution that the oilseed crop should not exceed 18 percent of total arable land. From the scientific community's perspective, exceeding this limit can disrupt crop rotation, increase pest pressure, and weaken soil health. This fear has already become a reality in northern Kazakhstan where sunflower area has rapidly expanded. See the map below. To avoid these issues, balanced crop rotation is essential.

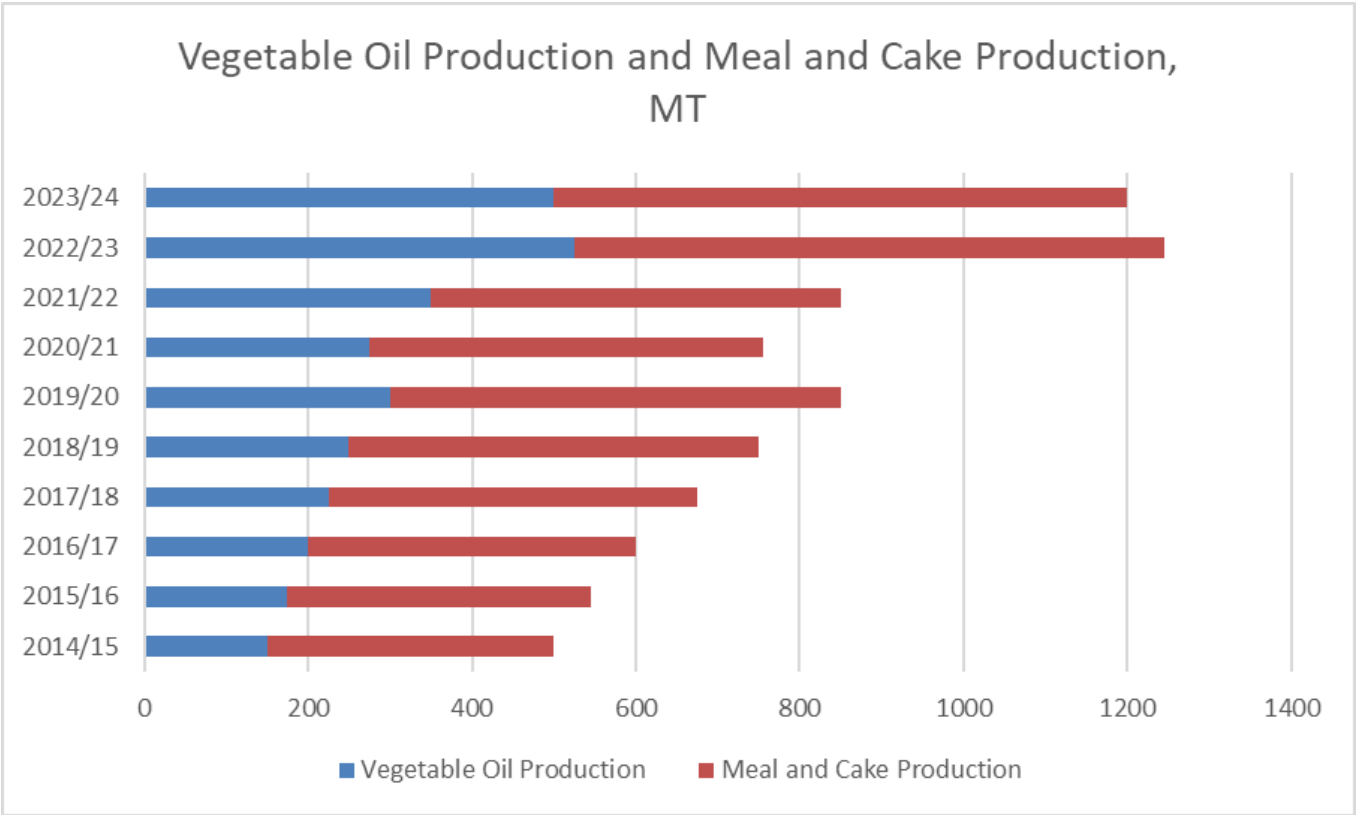


Kazakhstan Scales Up Investments in Oilseed Processing

As Kazakhstan ramps up production of sunflowers and other oilseeds, the country is simultaneously investing in downstream infrastructure to transform raw production into high-value exports. Between 2024 and 2025, the government allocated 18 billion tenge (approximately \$40 million) to support the construction and modernization of oil processing facilities. The funds support new processing plants, equipment upgrades, and improved logistics to help factories source raw materials more efficiently. Several new facilities were launched in 2024 as part of this effort.

Owing to these investments, Kazakhstan’s refining capacity more than doubled – from under 300,000 MT in 2021 to 600,000 MT projected in 2025. In parallel to the increase in capacity, total vegetable oil production has been increasing for past decade from 180,000 MT in 2014/15 (Sep-Aug) to over 560,000 MT in 2023/24. This expansion in processing capacity aligns with the government’s goal of moving beyond raw commodity exports toward higher-value agricultural products.

Sunflower meal and cake production followed a similar trajectory, rising from around 300,000 MT in 2014/15 to more than 700,000 MT in 2023/24. This has enabled Kazakhstan to meet its domestic feed demand requirements while exporting surplus volumes to regional markets.

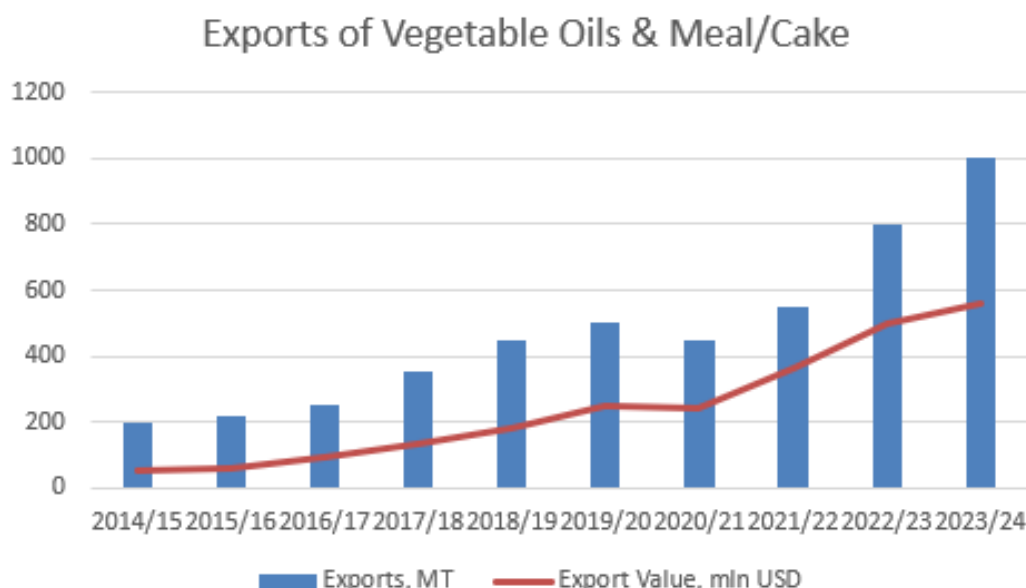


Source: The Bureau of National Statistics, June 2025

Growing Exports of Kazakh Vegetable Oil and Meal

As the country aims to become one of the world's top sunflower oil producers with projected export revenues of \$2 billion within the next five years, it is firmly positioning itself as a leading agro-industrial hub in Eurasia and a long-term supplier of high-value agricultural exports.

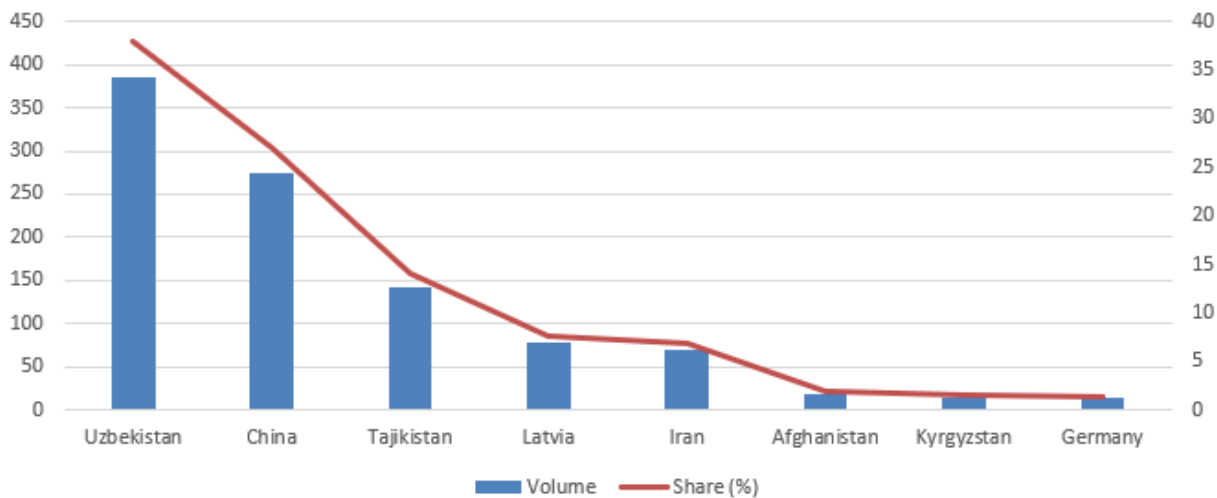
In the last few years, according to Kazakhstan's official trade statistics, exports of vegetable oils and meal – mostly oil and meal from sunflowers – has significantly grown. Exports of these commodities increased from less than 200,000 MT in 2014/15 to a record of more than 1.0 million MT in 2023/24. Export earnings surged in parallel, reaching a record of nearly \$580 million in 2023/24.



Source: The Bureau of National Statistics, June 2025

In 2023/24, Uzbekistan was the largest export destination for Kazakh vegetable oils and meals, accounting for nearly 380,000 MT or a little more than one-third of the total. The next largest destinations were China, Tajikistan, and Latvia. Looking ahead, Kazakhstan's key regional neighbors - Uzbekistan, Turkmenistan, Tajikistan, and Kyrgyzstan - are all expanding their livestock sectors in response to growing populations and rising demand for animal protein. However, these countries have limited capacity to cultivate oilseeds domestically, making them increasingly reliant on imports of high-protein feed. Kazakhstan's geographic proximity, logistics advantages, and growing surplus make it a natural supplier to meet these growing demands.

Vegetable Oil and Meal Export Structure by Country, Thousand of MT 2023/2024



Source: The Bureau of National Statistics, June 2025, NOPA

Over the last two years, rail shipments of sunflower oil to China increased from 50–70 wagons per month to over 300–350, enabled by the adoption of containerized flexitanks and the modernization of unloading terminals at Khorgos, according to industry sources. These improvements have significantly boosted reliability and efficiency in oil exports. More than 20 Kazakh processing plants are now registered for export to China.

Map 1. Commercial Rail Station Khorgos on Kazakhstan-China Border



Attachments:

No Attachments.